have been accounted in the books of accounts and have been shown in the Balance Sheet.

The following are the examples of Contingent Liabilities:

1. Liabilities on Bills Receivable discounted and not matured.
2. Liability on account of partly paid calls.
3. Liability on arrears of dividend on Cumulative Preference Shares.
4. Liability under a guarantee.
5. Liability for penalties under forward contracts
6. Liability that arises on account of litigation in respect of labour suits, trademarks, copyrights etc.

6.6.2 Auditor's Duty in Verifying Contingent Liabilities

1. **Ensure Creation of Adequate Provision:**

   The auditor should ensure that proper provision has been made for certain liabilities, for example, liability which arise on account of litigation and if he is not satisfied, the fact should be stated in the report.

2. **Disclosure in Balance Sheet:**

   In respect of certain liabilities for which no provision has been made in the books for example, Bills Receivable which has been discounted, arrears of accumulated fixed dividend etc. The auditor should verify that such liabilities are disclosed as foot note in the Balance Sheet.

STUDENTS ACTIVITY



1. Discuss long term liability, short term liability and current liability of an industry
2. Discuss the financial arrangements made to meet the unforeseen expenses in your institution

SUMMARY

- The auditor should take into consideration the following while verifiying liabilities: (1) whether proper records are maintained, (2) whether liabilities are actually payable and properly disclosed in balance sheet.
- Auditor should verify Share Capital with reference to the following - Memorandum of association and register of member, Vouch entries in cash and pass book,

Chapter_06.indd 94 18-12-2019 10:55:46